

for anything except provable fraud or else negligence so gross as to be equivalent thereto.

A further cause of complaint arose from the fact that the indenture trustee has frequently been a creditor of the obligor (e.g., a trust company holding its promissory notes) or else has been controlled by the same interests. These situations have created conflicts of interest, or an unwillingness to act impartially and vigorously, which have militated strongly against the bondholders. The Trust Indenture Act of 1939 contains stringent provisions designed to terminate these abuses.¹⁴

The Problem of the Protective Committee. Reform in the status of indenture trustees may lead to a solution of the vexing problem of the protective committee. Since 1929 the general status of protective committees has become uncertain and most unsatisfactory. Formerly it was taken for granted that the investment bankers who floated the issue would organize a protective committee in the event of default. But in recent years there has been a growing tendency to question the propriety or desirability of such action. Bondholders may lack faith in the judgment of the issuing house, or they may question its ability to represent them impartially because of other interests in or connections with the enterprise; or they may even consider the underwriters as legally responsible for the losses incurred. The arguments in favor of *competent* representation by agencies *other* than the houses of issue are therefore quite convincing. The difficulty lies however, in securing such competent representation. With the original issuing houses out of the picture, anybody can announce himself as chairman of a protective committee and invite deposits. The whole procedure has become unstandardized and open to serious abuses. Duplicate committees often appear; an undignified scramble for deposits takes place; persons with undesirable reputations and motives can easily inject themselves into the situation.

The new bankruptcy legislation of 1938 introduced some improvement into this situation by subjecting the activities and compensation

¹⁴ The remedial legislation was an outgrowth of a trust indenture study made by the S.E.C. and was greatly stimulated by the opinion delivered by Judge Rosenman in 1936 denying the claims of holders of National Electric Power (secured) debentures to hold the trustee of the issue accountable for the huge losses suffered by them. The judge held that the exculpatory clauses saved the trustee in this case but that the whole system of indenture trusteeship was in need of radical reform.